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SHEIN: AN ULTRA-FAST-FASHION RETAILER'S DIGITAL STRATEGIES

> *I would say 90% of my clothes come from Shein. I started shopping on the app in 2018, and now I spend an average of US$250 every month on the app. My parents buy as much as I do.*
>
> - Jennifer Cobo, 20-year-old living in Ashburn, USA[1]

Shein, an ultra-fast-fashion brand, was the most downloaded shopping app on the iOS and Android platforms in the United States, beating Amazon. With an increase of its value from USD15bn in 2020 to USD100bn in 2022,[2] Shein caught the attention of the fashion industry as its huge range of low-priced and ever-changing fashion appealed to young consumers in their teens and twenties.

Headquartered in China, Shein's success in the ultra-fast-fashion industry was built on its proprietary supply chain management system and China's garment production ecosystem to target overseas markets outside China. Shein mainly relied on digital marketing, collaborating with celebrities and influencers to market its products on social media platforms such as Instagram and TikTok.

Despite keeping a low profile, Shein found itself at the center of a series of controversies. Among others, Shein had been accused of low quality, copyright infringement, lack of supply chain transparency, encouraging a culture of excessive consumption, and indifference to environmental costs. People questioned whether Shein was just a fad and unsustainable or heralded a major shift in the fashion industry, as Zara's business model had in the 1990s. Could Shein lead a new wave of real-time fashion business model innovations? Or, on the contrary, would Shein fall and even struggle to survive like some of its predecessors in the fast-fashion industry?

[1] Eva Xiao, "How Shein became the Chinese Apparel Maker American Teens Love," *Wall Street Journal*, 2 August 2021.
[2] Miriam Gottfried and Charity Scott, "Shein valued at $100bn in funding round," *Private Equity News*, 6 April 2022.

Dr. Minyi Huang prepared this case under the supervision of Professor Yuk Fai Fong and Professor Zhixi Wan for class discussion. This case is not intended to show effective or ineffective handling of decision or business processes. The authors might have disguised certain information to protect confidentiality. Cases are written in the past tense, this is not meant to imply that all practices, organizations, people, places or fact mentioned in the case no longer occur, exist or apply.

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Fast-Fashion Industry

> *[Traditional fast fashion] scans the globe for fashion trends, designs clothing with lower-priced materials based on those trends, and gets pieces from drawing board to store floor in three weeks . . . a newer breed of companies like Fashion Nova, Boohoo, and ASOS largely cut out physical retail and middlemen in an evolution called ultra-fast fashion.*
>
> - Packy McCormick, founder of Not Boring [3]

Compared with ordinary clothing that was seasonal and affected by the weather, fashion was more stylish and short-lived. Since fashion depended on personal tastes and lifestyles, customer demands were complicated, difficult to predict, and highly volatile. A movie, an influencer, or a fashion show could have an immediate impact on demand, and impulse buying was also very common.[4]

The fast-fashion market was driven by 16- to 25-year-olds who preferred unique, affordable, and trendy clothes. The United Nations estimated that the global youth population would grow from 1.2 billion in 2019 to 1.3 billion in 2030.[5] The value of the global fast-fashion industry was expected to grow at a compound annual growth rate (CAGR) of 7%, from USD30.58bn in 2021 to USD39.84bn in 2025.[6]

Speed was critical in the fashion industry, as a company could get a sustainable competitive advantage over its competitors if it had the ability to quickly recognize fashion trends. In the 1990s, Zara pioneered the fast-fashion business model by cutting the traditional one-year production cycle in the fashion industry to just a few weeks. Companies such as H&M and Forever 21 copied this model.

In the late 2010s, a number of ultra-fast-fashion brands including ASOS, Fashion Nova, and Shein started to emerge. They relied on search traffic and customer data to predict demand and used social media rather than retail shops to reach consumers. [7] Using advanced technologies to provide accurate and timely data about various activities along the supply chain, they could rapidly identify and respond to the latest fashion trends by introducing new products quickly to satisfy demand while at its peak[8] and maximize profits.

In the fashion industry, there were three critical lead times: the time from recognizing a fashion trend to bringing the final product to market, the time from receiving a customer order to delivering the product to the customer, and the time from recognizing the fashion trend to making production adjustments. [9] Cutting the lead times by half could reduce the costs by 21% on average. [10]

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[3] Packy McCormick, "Shein: The TikTok of Ecommerce" 24 June 2021, https://greenisthenewblack.com/shein-ultra-fast-fashion-consumerism-tiktok-influencer/, accessed 28 August 2021.

[4] R. Ciarniene and M. Vienazindiene, "Management of contemporary fashion industry: characteristics and challenges," *Procedia: Social and Behavioral Sciences* 156 (2014): 63–68.

[5] Department of Economic and Social Affairs, "International Youth Date, 12 August 2019," United Nations, 2019, https://www.un.org/development/desa/youth/wp-content/uploads/sites/21/2019/08/WYP2019_10-Key-Messages_GZ_8AUG19.pdf, accessed 30 August 2021.

[6] Businesswire, *Global Fast Fashion Market Report 2021: COVID-19 Growth and Change to 2030*, 24 May 2021.

[7] Terry Nguyen, "Shein is the future of fast fashion. Is that a good thing?" Vox, 10 August 2021, https://www.vox.com/the-goods/22573682/shein-future-of-fast-fashion-explained, accessed 22 August 2021.

[8] C. Moore and J. Fernie, "Retailing within an International Context," in *International Retail Marketing: A Case Study Approach*, M. Bruce, C. Moore, and G. Birtwistle, eds. (Oxford, UK: Elsevier Butterworth Heinemann, 2004), 3–37.

[9] M. Christopher, R. Lowson, and H. Peck, "Creating agile supply chain in the fashion industry," *International Journal of Retail and Distribution Management* 32, no. 8 (2004): 367–376.

[10] G. P. Cachon and M. Fisher, "Supply Chain Inventory Management and the Value of Shared Information," *Management Science* 46, no. 8 (2000): 1032–1048.

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Cost cutting could also be achieved by keeping low levels of inventory, shortening transportation distances, and taking advantage of lower labor costs and tax savings in other countries.[11] By moving labor-intensive tasks overseas, many Western fashion companies traded longer lead times for considerable labor cost savings. But by moving production overseas, the industry exposed itself to import and export costs. These costs often carried significant political risks. For example, in the US-China trade war, the US imposed an additional 25% punitive tariff on Chinese imports, including apparel and footwear, worth USD250bn .[12]

The COVID-19 pandemic affected corporate performance, changed consumer behavior, and increased the demand for digital channels. Compared to 2019, the global fashion industry witnessed a 93% drop in economic profits in 2020.[13] Social distancing measures forced people to work from home and limited social gatherings, reducing demand for fashion. Consumers in many countries were reluctant to go out and shop in crowded environments. In just a few months, consumers and businesses had moved forward five years in adopting digital technologies.[14] Traditional brick-and-mortar retailing was challenged by omni-channel retailing, allowing consumers to shop in different ways, including social media and mobile. The popularity of social media also raised consumers' fashion awareness, leading to faster than ever changes in the fashion preferences of consumers. Fashion brands found it even more difficult to predict fashion trends and future demand.

Company Background

> *Real-time fashion refers to the model that Shein's developed whereby you're in the Shein app, and you put something in your cart. When they upload a new item, they can actually update the systems that they have in the back end, whereby the action that you take can immediately have an effect on the factory floor.*
>
> - Matthew Brennan, Specialist in Chinese mobile technology and innovation[15]

Shein featured attractive prices, various styles, and fast renewal. On its US website, customers might find a top costing less than USD10 and a pair of jeans with a price tag of USD20. The items on sale were given big discounts; for example, a pair of shorts originally priced at USD17 were sold for USD8.[16] [See **Exhibit 1** for price comparison.] Moreover, Shein introduced new items so often that its app had once introduced 7,423 new items in one day.[17] In 2021, an average of 2,000 SKUs[18] of women's clothing and accessories were launched every day.[19] The number

[11] J. Fernie and L. Sparks, "Retail logistics: changes and challenges," in *Logistics and Retail Management: Emerging Issues and New Challenges in the Retail Supply Chain*, 4th ed., J. Fernie and L. Sparks, eds. (London: Kogan Page, 2014).

[12] Fibre2Fashion, "US China Trade Tariff Impacts on Textiles & Apparel Industry," February 2021, https://www.fibre2fashion.com/industry-article/8924/us-china-trade-tariff-impacts-on-textiles-apparel-industry, accessed 31 August 2021.

[13] I. Amed, A. Balchandani, J.E. Jesen, A. Berg, S. Hedrich, and F. Rölkens, "The State of Fashion 2021: In search of promise in perilous times," McKinsey, 1 December 2020, https://www.mckinsey.com/industries/retail/our-insights/state-of-fashion, accessed 29 August 2021.

[14] Ibid.

[15] Kai Ryssdal and Minju Park, "Is fast fashion catching up to real time?" Marketplace, 22 July 2021, https://www.marketplace.org/2021/07/22/is-fast-fashion-catching-up-to-real-time/, accessed 4 November 2021.

[16] Shein, company US website, https://us.shein.com, accessed 2 September 2021.

[17] Yiqin Fu, "Shein: A story of online segregation and data as business intuition," 29 August 2021, https://yiqinfu.github.io/posts/shein/, accessed 29 Nov 2021.

[18] SKU stands for stock-keeping unit. Each product item is assigned with a unique code, making it easier to track inventory.

[19] M. Faithfull, "Is China's mysterious $15 billion fast fashion retailer ready for stores?" *Forbes*, 10 February 2021, https://www.forbes.com/sites/markfaithfull/2021/02/10/shein-is-chinas-mysterious-15-billion-fast-fashion-retailer-ready-for-stores/?sh=77dcf3e96df5, accessed 26 April 2022.

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of new items launched by Zara for the whole year was about the same as the number of new items launched by Shein every two months.[20]

Headquartered in Nanjing, China, the company was founded by Chris Yangtian Xu in October 2008 as SheInside, a B2C website selling wedding dresses and women's fashion targeted at US and English-speaking customers. After graduating from Qingdao Science and Technology University in 2007, Chris had worked in search engine optimization (SEO) and brand marketing for an online marketing company dealing with foreign trade in Nanjing, Jiangsu Province. Chris was good at logical and engineering thinking and pursuing algorithm optimization. He had always kept a low profile and rarely delivered public speeches.[21]

Before 2014, the company only sourced from the wholesale clothing market in Guangzhou and sold directly to overseas customers. In 2014, the company encountered a bottleneck for further growth due to its inability to handle the massive orders, which resulted in dissatisfied customers. The company decided to develop an in-house design team and have its own integrated supply chain. The company acquired ROMWE, its Chinese rival with similar overseas businesses, in 2014 and purchased MAKEMECHIC,[22] a US competitor, in 2015. By working closely with Xiangqing Ren, the person in charge of its Guangzhou subsidiary, SheInside supported its own OEM and grassroots suppliers in Guangzhou and built and upgraded the company's back-end supply chain ecosystem.[23]

In 2015, the company also renamed itself Shein, an easily recognized and memorized name, using the slogan "She In Shine Out" along with a large-scale promotion. The new brand also fit the corporate culture of "She wants to be in your heart rather than just to be by your side."[24] Shein became a trademark of Zoetop Business Co. Ltd., a Hong Kong–registered company established in 2015.

In response to customer complaints about quality issues and to improve its quality, in April 2016, Shein announced it would cease working with "suppliers of mediocre quality products or misleading product images." After that, Shein used its own team of models for all the products advertised on its website, with more details on the sizes of the models who tried on the clothes and their try-on experience.[25]

During the COVID-19 pandemic, Shein saw its business boom. In the US, its largest market, Shein's fast-fashion market share jumped from 7% in January to nearly 30% in June 2020.[26] [See **Exhibit 2.**] Shein's revenue in 2018 and 2019 was about USD1.2bn and USD2.4bn,

[20] Jeffrey.W, "An incomplete business story about Shein," 18 February 2021, https://pandayoo.com/2021/02/18/an-incomplete-business-story-about-shein/, accessed 2 September 2021.
[21] Sun Wenxuan, "Shein's Fortune Code: Chinese Styled Recommendation + Made in China," *Beijing News*, 9 June 2021, http://www.xinhuanet.com/fashion/2021-06/09/c_1127544503.htm, accessed 31 August 2021.
[22] MakeMeChic.com was an e-commerce platform selling women's apparel and accessories. Its headquarters was located in California, US. It is also selling via Amazon.
[23] Shan Huang, "Kill Zara: The mystery of the supply chain of Shein, China's multi-billion-dollar cross-border e-commerce," 1 September 2020, https://mp.weixin.qq.com/s/yU-A5-dcjGHyNlEFX_hSAg, accessed 3 September 2021.
[24] Shein Group, "She In Shine Out: Sheinside Changes Brand Name to Shein," PRNewswire, 8 June 2015, https://www.prnewswire.com/news-releases/she-in-shine-out-sheinside-changes-brand-name-to-shein-300095504.html, accessed 1 September 2021.
[25] Shein, "Shein.com cuts out mediocre suppliers," PR Newswire, 29 April 2016, https://www.prnewswire.com/news-releases/sheincom-cuts-out-mediocre-suppliers-300259248.html, accessed 5 September 2021.
[26] Victoria Waldersee, "Chinese retailer Shein lacks disclosures, made false statements about factories," Reuters, 6 August 2021.

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respectively.[27] Having grown over 100% per year between 2013 and 2020, Shein's revenue reached USD9.8bn in 2020.[28] In 2021, Shein's revenue increased further to USD15.7bn.[29]

In 2020, Shein was already valued over USD15bn after securing five rounds of funding. Investors included JAFCO Asia, IDG Capital, Jinglin Investment, Shunwei Capital, Sequoia Capital, and Tiger Global Management.[30] The company was planning for a stock listing on the New York Stock Exchange in 2024.[31]

In 2021 Shein's overseas offices covered all its major markets, including Europe, America, Australia, and the Middle East. Sold to more than 220 countries and regions in the world [see **Exhibit 3**], Shein's main products included women's wear and other fashionable products including men's wear, children's clothes, bags, shoes, and accessories.

> *Made-in-China has a solid accumulation in the field of apparel production, and the domestic digital transformation has been in full swing in the past two years, which provides a good soil for Chinese companies to respond quickly to overseas demand. Considering the fierce competition in the domestic market, the key to Shein's success in taking the overseas route is worthy of other Chinese companies' consideration and reference.*
>
> - Prof. Cui Lili, Shanghai University of Finance and Economics[32]

The company set up five customer services management centers globally with over 200 staff to assist customers with the purchase process and solve after-sales problems.[33] While Shein targeted overseas markets, many fast-fashion companies such as Uniqlo, Zara, and H&M had been expanding into China since the first decade of 21st century. By 2015, China became Uniqlo and Zara's second largest market in the world and one of the top five markets for H&M. At the same time, as the rise of local fast-fashion brands and the prosperity of the e-commerce industry forced some European and American brands, including New Look, ASOS, Topshop, Forever 21, Gap, and Superdry, to move out of China.[34]

Supply Chain Management

Ultra-fast-fashion industry required the support of strong supply chain management. Styles and designs were constantly changing. The same design might differ in size and color, which increased the number of SKUs and the burden of garment production and inventory management. Shein first built the supply chain system and then developed subsystems for different supply chain functions.[35] Shein controlled each step throughout its supply chain. All the steps were highly digitized and integrated with one another, which enabled the company to

[27] Drizzie, "After Shein became popular," 25 December 2020, https://mp.weixin.qq.com/s/fbdzMt2cjsehlsPbzStzcw, accessed 2 September 2021.
[28] Wenxuan Sun, "Shein's Fortune Code: Chinese Styled Recommendation + Made in China," *Beijing News*, 9 June 2021, http://www.xinhuanet.com/fashion/2021-06/09/c_1127544503.htm, accessed 31 August 2021.
[29] K. Wu, F. Potkin, and S. Murdoch, "Chinese fashion retailer SHEIN revives plan for New York listing in 2022," Reuters, 25 January 2022, https://www.reuters.com/markets/europe/exclusive-chinese-fashion-retailer-shein-revives-plan-new-york-listing-2022-2022-01-25/, accessed 26 April 2022.
[30] Wenxuan Sun, 2021. The first round of USD5mln took place on 1 December 2013, then RMB0.3 on 12 July 2016, followed by 3 July 2018, 1 December 2019, and 4 August 2020.
[31] Bruce Enhorn and Daniela Wei, "Fast-fashion Behemoth Shein says it's cleaning up its act. Will anyone buy it?" *Bloomberg,* 14 July 2022.
[32] Wenxuan Sun, 2021.
[33] Guangzhou Shein International Import and Export Ltd., "SHEIN Company Introduction," 18 February 2020, https://zhuanlan.zhihu.com/p/107650255, accessed 1 September 2021.
[34] Song Qing, "Chinese brands go overseas: Shein enters Zara's hometown," 28 June 2020, https://www.sohu.com/a/404459270_465282, accessed 3 September 2021.
[35] Shan Huang, "Kill Zara."

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develop and introduce up to 10,000 new products tailored to different regions and user tastes every day.[36]

Compared to Zara's normal production cycle of 14 days, the production cycle of Shein's core fashion products was normally 5 to 7 days, from a supplier's response to the order to the completion of the products ready for delivery. For an additional order of a popular design, its suppliers could even deliver within 3 to 5 days.[37] For a new design, it took roughly 14 days in total from the design of the garment to the delivery of the garment directly from the factory to the consumers or to a Shein warehouse.[38]

Design

> *Each new design is basically a bet because Shein can estimate how well a product is going to do, but it doesn't know for sure until it sells. Compared to its fast-fashion competitors, Shein is able to take more bets, but at a lower risk. It's able to place very small initial orders with these factories, about 100 or even smaller.*
>
> - Matthew Brennan, specialist in Chinese mobile technology and innovation [39]

Shein was able to introduce up to 10,000 new products a day,[40] because its minimum order size for each product was much smaller than its competitors; for example, the minimum size of Zara's production order was 500.[41] To come up with so many designs, Shein had a team of 200 in-house designers[42] who either designed new clothes based on the results of big data analysis, or expanded an existing series or developed a similar series based on elements that customers definitely liked.[43] In January 2021, Shein launched SHEIN X Designer Incubator Program, which enabled independent designers to use their original designs to create their own clothing collections and allowed artists to have their work printed on Shein's T-shirts. By the end of January 2022, Shein had worked with 1,442 designers and artists from more than 20 countries, and the number was expected to grow to over 3,000 by the end of 2022.[44]

As one of Google's largest customers, Shein's planning department algorithmically searched the internet, using Google's Trends Finder product to enable real-time fine-grained tracking of clothing-related search terms in different countries and regions. Shein had correctly predicted the lace fashion trend in the summer of 2018.[45] Shein also collected data by searching competitors' websites, mobile apps, and Shein's massive global sales data. By analyzing big data, the company was able to pull out the elements of fashion trends, such as silhouette, line, color, and texture. Then, the company could plan and develop products based on these elements and later pass the prototypes to the operational department for testing market reactions. After testing, it would use the test data to decide on order size and promotion.

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[36] Dilys Williams, "Shein: the unacceptable face of throwaway fast fashion," *The Guardian*, 10 April 2022.
[37] Shan Huang, "Kill Zara."
[38] Guangzhou Shein International Import and Export Ltd., "SHEIN Company Introduction," 18 February 2020, https://zhuanlan.zhihu.com/p/107650255, accessed 1 September 2021.
[39] Terry Nguyen, "Shein is the future of fast fashion."
[40] Dilys Williams, "Shein: the unacceptable face of throwaway fast fashion," 10 April 2022, https://www.theguardian.com/fashion/2022/apr/10/shein-the-unacceptable-face-of-throwaway-fast-fashion, accessed 26 April 2022.
[41] Jeffrey.W, 2021.
[42] Lora Jones, "Shein: The secretive Chinese brand dressing Gen Z," BBC News, 9 November 2021, https://www.bbc.com/news/business-59163278, accessed 28 November 2021.
[43] Wenxuan Sun, 2021.
[44] Shein, "Shein celebrates one-year anniversary of SHEIN X Design Incubator Program," 8 February 2022, https://www.prnewswire.com/news-releases/shein-celebrates-one-year-anniversary-of-shein-x-design-incubator-program-301477803.html, accessed 26 April 2022.
[45] Packy McCormick, "Shein: The TikTok of Ecommerce" Green Is the New Black, 24 June 2021, https://greenisthenewblack.com/shein-ultra-fast-fashion-consumerism-tiktok-influencer/, accessed 28 August 2021.

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In choosing clothes for advertising and testing the market, most companies used the most likely best-selling clothes in their advertisements, did the testing, made improvements, and finally spent on the best-performing advertisers. But Shein used quasi-explosive styles,[46] instead of the best-selling styles, as the image content of its ads. Though not all quasi-explosive styles would become best-selling styles, Shein was able to act ahead of the competition.[47]

Manufacturing

> *Shein doesn't work with very large factories but [with] small to mid-sized workshops that pick up orders daily. It's very much like an Uber system, where new orders are coming into factory owners' phones and they receive the order. It's very scrappy, but efficient.*
>
> - Matthew Brennan, specialist in Chinese mobile technology and innovation [48]

The secret of Shein's manufacturing efficiency was in its "small order fast return" model, which featured small orders and high-frequency repeated orders. The whole production process was driven by the orders generated on its e-commerce platform. Each order was divided into small units given to small factories to complete. Though the overall sales figure was huge, Shein divided it into many SKUs, and each design's order quantity was very small. [49] Shein was able to rely on small factories, instead of large ones, which shortened the production cycle, increased flexibility, and lowered the costs.

To make the "small order fast return" model work, Shein relied on the following two factors.

First, Shein leveraged the garment production ecosystem that had developed over three decades in Panyu, Guangzhou, in South China. From the beginning of the wholesale businesses in the 1990s to Taobao orders in the 2000s and now the international OEMs, Panyu's garment factories had always retained the traditional small-scale garment production model and developed a fast garment production supply chain. Panyu and surrounding areas had everything the suppliers needed for fast fashion, including textile and accessories suppliers, lathe factories, and garment-washing factories.

Shein set a minimum-quality requirement for suppliers and then chose those suppliers that offered the lowest price. If a customer returned goods due to quality problems, the company also imposed fines on the corresponding supplier. [50] Shein had about 300 to 400 garment factories as core suppliers,[51] and these core suppliers were estimated to have over 5,000 third-party suppliers to serve Shein.[52]

The work the garment factories did for Shein was the same as the work they had been doing for decades. They were only required to install and use Shein's order management system. The system used cloud-based supply chain management software. When a product was selling well, the system automatically reordered in large volumes.[53] To fulfill Shein's order, factories did not need to have high-tech manufacturing facilities. For example, Xiaowei, a seamstress in her twenties, worked at a factory with a monthly output between 300,000 and 400,000 pieces in

[46] Quasi-explosive styles refer to those fashion apparels that are almost or very likely to become the best-selling ones.
[47] Baijingapp, "Pei Yang, general manager of Shein Mobile: How does Shein eat the 'cake' of the app market?" 20 September 2020, https://www.163.com/dy/article/C1E7BVHC051189EA.html, accessed 3 September 2021.
[48] Terry Nguyen, "Shein is the future of fast fashion."
[49] Shan Huang, "Kill Zara."
[50] Wenxuan Sun, 2021.
[51] Ibid.
[52] Eva Xiao, "How Shein became the Chinese Apparel Maker American Teens Love."
[53] Jonathan Eley and Eleanor Olcott, "Shein: the Chinese company storming the world of fast fashion," *Financial Times*, 9 December 2021, https://www.ft.com/content/ed0c9a35-7616-4b02-ac59-aac0ac154324, accessed 7 February 2022.

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Panyu's Nan Village. Using a sewing machine to make clothes according to the designed pattern, she was able to complete over 1,000 basic garments, or 300 to 400 more-complicated garments every day. At most, she manufactured eight different designs of clothing in one day.[54] Hua was a more experienced worker with more than 10 years' experience. She was responsible for sewing buttons, zippers, and trimming excess threads. She considered Shein's order easy to fulfill and was able to complete more than 300 pieces a day. Remuneration of garment factory workers including Xiaowei and Hua was calculated using a piece rate. Workers normally worked between 10 and 12 hours a day, with two short breaks, six days a week.[55]

Second, while Western brands simply outsourced the work, Shein spent years developing close relationships with local suppliers to form a garment production ecosystem. Suppliers competed for Shein's business. If a supplier risked losing money for an 80-item order, then Shein would order 100 items and bear the financial costs and risks of overstocking on its own. Shein also ensured a healthy cash flow so that it never defaulted on payment to its suppliers. The company paid its suppliers very fast and punctually, usually within 30 to 45 days,[56] compared to the industry average of 60 days in China.[57] Shein also required its suppliers to pay upstream manufacturers on time to ensure factory workers were paid promptly. Otherwise, Shein terminated the relationship immediately. Besides its punctual payments, Shein's large number of orders also made the company popular among its suppliers. Even though the supplier earned less than USD1 for each garment, the large number of garments ordered by Shein each month generated a lot of revenue for suppliers and enabled them to expand their businesses. [58]

As a result, the collaboration between Shein and suppliers was like a spiraling closed loop: Suppliers tried to work with Shein's production management requirements, which enabled Shein to grow. In return, Shein supported manufacturers to grow and develop by lending them money to buy equipment and factories. [59]

> *China's not the cheapest place to manufacture anymore. You can go to markets like India or Bangladesh; the labor costs are definitely lower in those markets. But China still has an overall advantage in terms of the speed and flexibility, and the overall package of infrastructure is still best in class.*
>
> - Matthew Brennan, specialist in Chinese mobile technology and innovation[60]

Unlike the large factories expanding their business to Southeast Asia and South Asia, Shein's suppliers that were small factories in Panyu often chose to expand to inland China. They did not have the financial capabilities to invest overseas. Large companies with large-scale and intelligent production, such as Hong Kong–based Esquel group and Ningbo-based Shenzhou International Holding Ltd., were able to set up supply chains and provided training to new workers. Moreover, as many migrant workers in these small factories were encouraged to return to develop their hometowns in inland China, the factory owners preferred to follow the national labor movement trend and take advantage of skilled labor and their hardworking attitude. [61]

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[54] Shan Huang, "Kill Zara."
[55] Ibid.
[56] Shan Huang, "Kill Zara."
[57] Shi Mao Tong, "Typical cases," http://www.shimaotong.com/platform/index/1/HZ909087483f39f10148444b5de52874.html, in Chinese, accessed 6 August 2022.
[58] Eva Xiao, "How Shein became the Chinese Apparel Maker American Teens Love,".
[59] Shan Huang, "Kill Zara."
[60] Kai Ryssdal and Minju Park, "Is fast fashion catching up to real time?" Marketplace, 22 July 2021, https://www.marketplace.org/2021/07/22/is-fast-fashion-catching-up-to-real-time/, accessed 4 November 2021.
[61] The Fashion Law, "Shein is falling short of modern slavery reporting rules, according to new report," 6 August 2021, https://www.thefashionlaw.com/shein-is-falling-short-of-modern-slavery-reporting-rules-according-to-new-report/, accessed 25 August 2021.

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Shipment

Shein's supply chain management company was based in Panyu, Guangzhou. Shein's warehouse in Foshan, Guangzhou Baiyun International Airport, Zhongda Textile Business District, which was China's largest clothing textile and accessories supply market, and Shi San Hang, which was Guangzhou's clothing wholesale market, were all within one hour's driving distance from Panyu. [62]

To ensure that the finished products could be delivered to the key markets within a week, Shein provided two modes of transportation. Consumers could expect items to arrive within three to seven working days using the express delivery option, and 7 to 20 days using the standard delivery option.[63] In the US, Shein's express shipping and standard shipping cost USD12.90 and USD3.99, respectively.[64]

> *If you're Zara, there's no way you're going to get around US import duties because you're not shipping to individuals. You're selling to stores and importing in bulk. .*
>
> - Michael Horowitz, freelance journalist in sustainable fashion[65]

Shein's direct-to-customer business model allowed the company to gain tax benefits. According to Section 321 of the Tariff Act of 1930 in the US, called the de minimis rule, a single shipment of goods worth no more than USD800 per individual or company was allowed to enter the US duty-free within 24 hours. Therefore, Shein did not need to pay import or export tariffs by shipping the small-value goods directly from Chinese warehouses to American customers. Shein was better positioned to benefit from this cost advantage than its rivals after the US imposed punitive tariffs on Chinese clothing in the wake of the US-China trade war. While the US imposed more tariffs on Chinese exports, China started waving export taxes for direct-to-consumer companies in 2018 and only imposed export duties to some resource products and semi-manufactured goods.[66]

Pop-up Stores

Shein opened its first pop-up store in New York in 2018. Since then, the company had opened pop-up stores in many US cities, including San Diego, Austin, San Jose, Chicago, San Francisco, Miami, New York, Dallas, and Los Angeles. In Mexico, Shein ran a pop-up store in Mexico City from Friday 18 to Sunday 20 June 2021. This pop-up store sold Shein's 2021 summer collections, including its collection with popular designers Shein X, its premium collection MOFT, and its beauty collection Sheglam. During those three days, Shein also initiated a donation program with Maggie's Place, a local nonprofit organization that helped pregnant women and single mothers who did not have a place to live.[67]

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[62] Shan Huang, "Kill Zara."

[63] Olalla Mellado, "Sites like Shein [9 Clothing pages like Shein where buy]," https://olallamellado.com/sites-like-shein, accessed 21 August 2021.

[64] Shein, "Shipping information," https://us.shein.com/Shipping-Info-a-280.html, accessed 7 August 2022.

[65] Terry Nguyen, "Shein is the future of fast fashion."

[66] Ari Chernoff and Zoey Zhang, "2022 import-export taxes and duties in China," 22 December 2021, https://www.china-briefing.com/news/import-export-taxes-and-duties-in-china-2022/, accessed 07 February 2022.

[67] Sofia Krusmark, "Popular fast fashion brand Shein's Tempe pop-up store is this weekend. Here's what to know," azcentral, 11 June 2021, https://www.azcentral.com/story/entertainment/events/2021/06/11/shein-tempe-pop-up-shop/7623347002/, accessed 2 October 2021.

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> *Our sales have gone up [from the pop-up store], mainly because of the clothes we selected to sell that were reflective of both seasonal trends and trends in Dallas. The 3-day event netted us USD80k.*
>
> - Yulanda Ma, Operations Manager, Shein [68]

Shein normally promoted its pop-up stores on social media by adding pop-up windows on its website, placing ads on TikTok, Instagram, posting Facebook event pages, and publishing on Reddit.

Digital Marketing

> *For a retailer without (permanent) physical stores and a company that is virtually unknown to anyone but their target audience, Shein has utilised social media to reach consumers directly and become arguably the biggest digital clothing retailer.*
>
> - Juozas Kaziukėnas, Founder of Marketplace Pulse[69]

Starting with advertising using the traditional channels such as TV commercials and YouTube ads, Shein gradually changed its publicity from offering discounts to boost sales to promoting and building a lifestyle brand.[70] In 2012, as an early adopter of digital marketing, the company partnered with fashion influencers on Facebook, Instagram, and Pinterest to promote products. By 2020, this list had expanded to include Twitter, YouTube, Snapchat, and TikTok.

Shein became a globally recognized brand [see **Exhibit 4**]. Shein was top on the lists of the "most talked about" brands on YouTube and TikTok for 2020 [71] and was the most visited fashion and apparel site in the world[72] [see **Exhibit 5**]. By June 2021, there were more than 23 million followers in Shein's Instagram and TikTok accounts. [73] In the Middle East, Shein ranked among the top-10 shopping apps in the UAE and Saudi Arabia, two main markets in the region.[74]

Corporate Website and App

> *We've put in a lot of work to make sure the SHEIN app not only gives our customers a fantastic shopping experience, but also offers tons of great content. This is why we're one of the most downloaded apps in the App Store. The New section in the app is super popular because we drop 700–1,000 new styles daily. Customers also love the Gals section for all the latest fashion, lifestyle and entertainment content that's updated each day. Moreover, there are plenty of fun games and contests where customers can win credits toward their next purchase. Finally, we're really proud that our app is one of the fastest, so you'll never experience any lag while browsing.*
>
> —Molly Miao, Chief Marketing Officer, Shein[75]

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[68] Arielle Crane, "Fashion retailer Shein opens Dallas pop-up shop with storefront," Store Front, 11 November 2019, https://www.thestorefront.com/mag/fashion-retailer-shein-opens-dallas-pop-up-shop-with-storefront/, accessed 01 October 2021.

[69] Lora Jones, "Shein: China fashion giant investigates 'false' anti-Uyghur job ads," BBC, 28 August 2021, https://www.bbc.com/news/business-58284855, accessed 28 Aug 2021.

[70] Song Qing, "Chinese brands go overseas:"

[71] The Fashion Law, "Shein is falling short of modern slavery reporting rules."

[72] Terry Nguyen, "Shein is the future of fast fashion."

[73] Victoria Waldersee, "Chinese retailer Shein lacks disclosures."

[74] Daxue Consulting, "Shein's market strategy: How the Chinese fashion brand is conquering the West," 26 July 2021, https://daxueconsulting.com/shein-market-strategy/, accessed 3 February 2022.

[75] Isis Briones, "Yara Shahidi, Katy Paerry And More Come Together With SHEIN For COVID-19 Relief Efforts," *Forbes*, 8 May 2020, https://www.forbes.com/sites/isisbriones/2020/05/08/shein-together-katy-perry-yara-shahidi/?sh=2f203f333901, accessed 31 August 2021.

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The company was running two fast-fashion websites, Shein and ROMWE.[76] Using different languages, Shein's websites supported trading in the Americas, Europe, the Middle East, South Africa, Australia, and Asia. [77] Shein's offerings expanded from women's clothes to men's and children's apparel, housewares, and accessories. It introduced and highlighted new items on its web page every day. [See **Exhibit 6** for its US website.] In 2013, Shein launched its mobile app. [78]

The way Shein developed its website helped to develop a large user base. When Shein first developed its website solely for selling clothes in 2010, most companies either used the third-party platforms, like Amazon, or built a diversified platform.[79]

Shein used competitive products to attract potential customers and then gave incentives such as discounts to encourage customers to repeat purchase and recommend to their friends and families.

Shein knew that its products' pictures and other promotional materials were the first things that users encountered. Shein paid a lot of attention to both blogger's promotional materials and the contents displayed on the company's official websites. For example, Shein was rather strict with the photo shoots, which often required more than 10 hours of continuous shooting to complete. To introduce a new item, Shein took five pictures of the item from different angles, grouped them together, and showed them online.[80] By showing the details of each product, Shein enabled customers to make an informed decision. Moreover, Shein often had models wear the clothes, because "the good visual effect indicates that the quality is good." [81]

Additionally, Shein offered e-coupons to attract and retain customers. Customers received cash coupons when they registered on Shein's website for the first time. After that, discount coupons were regularly shared through the "My Coupons" section of registered customers or the website. Customers could also find Shein coupons or cash rebates when visiting other shopping websites on which Shein advertised, such as www.rakuten.com and www.retailmenot.com.

Shein had a loyalty program to encourage customers to visit its website frequently. Not only could customers earn points for every dollar spent, but they could also earn points by revisiting their personal accounts for seven consecutive days, watching live broadcasts, uploading personal photo reviews, and taking part in outfit contests or other daily marketing activities. In Canada, for instance, each customer could earn up to 2,000 points a day, and every 100 points were worth one dollar. Depending on the offers, the validity period of the points varied from seven days to three months. The points could be used to deduct up to 70% of an order's total value.[82]

[76] Based in China, Romwe.com was launched in 2008, offering fashion-conscious dresses, coats, boots, and so on.

[77] Shein launched its website in Spain, Zara's headquarters, in 2010, then France in 2012, Russia and Germany in 2013, Italy in 2014, Arabs and Australia in 2015, Great Britain in 2017, South Africa in 2020, the HKSAR in 2021. [Source: Qing Song, 2020 and various websites.]

[78] Song Qing, "Chinese brands go overseas:".

[79] Wenxuan Sun, "Shein's Fortune Code: Chinese Styled Recommendation + Made in China," *Beijing News*, 9 June 2021, http://www.xinhuanet.com/fashion/2021-06/09/c_1127544503.htm, accessed 31 August 2021.

[80] Baijingapp, "Pei Yang, general manager of Shein Mobile: How does Shein eat the 'cake' of the app market?" 20 September 2020, https://www.163.com/dy/article/C1E7BVHC051189EA.html, accessed 3 September 2021.

[81] Sun Wenxuan, "Shein's Fortune Code:".

[82] Shein, "Bonus points," https://ca.shein.com/bonus-point-program-a-371.html#ps-t1, accessed 4 November 2021.

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Social Media Influencer Strategy

> *In 2011, 100% of Shein's traffic came from Internet celebrities. At that time, ROI (return on investment) was 1:3*[83]*, very lucrative.*
>
> - Pei Yang, Founder of ROMWE and Head of Product Department, Shein[84]

In addition to advertising on Google and Facebook, Shein leveraged technology and social media influencers to create personalized ads to target customers.[85] Shein worked with leading influencers to launch fashion collections and organize virtual events, and partnered with social media influencers who wanted to earn commissions or to try on free fashion clothes by promoting Shein's products online and around them.

Shein worked with celebrities to raise the brand awareness among young people. Shein organized concerts and events with famous musicians, including Katy Perry, Lil Nas X, Nick Jonas, and Tinashe. Shein also sponsored influencers, such as Addison Rae, and collaborated with stars from reality TV programs, including *The Bachelor*'s Hannah Godwin, *Made in Chelsea*'s Georgia Toffolo, and *The Only Way Is Essex*'s Amber Turner, to create capsule collections.[86]

Shein had launched a number of exclusive collections with celebrities. For instance, in November 2020, Shein worked with Farah Al Hady, an Arabic internet celebrity with 5.49 million followers on Instagram, to launch the 2020 Fashion Collection Shein X Farah.[87] In August 2021, the SHEIN X ALMAHRA Inspiration Collection was launched. Almahra was a Bahraini actress who was named the "Most Beautiful Model" in 2013 and earned the title of "ambassador of Arab dress" in 2014. Many key items in the collection were selected by Almahra herself. She excitedly showed the images from the collection on her Instagram account and expressed her gratitude to Shein for choosing her for this collection.[88]

Shein also developed its way of working with influencers who did not necessarily have a large following but could make an impact on its target customers. For example, Shein placed continuous media advertisements on TikTok and offered attractive deals for viewers to watch Shein haul videos, which enabled influencers to gain thousands of followers by doing Shein hauls. With the support of TikTok and its followers, influencers wanted to engage in more Shein hauls, which in turn encouraged Shein to incentivize and fund more videos on TikTok.[89] By the end of April 2022, #shein hashtag videos on TikTok had 26.3 billion views, which was much higher than Zara's 8.4 billion views and Uniqlo's 608.7 million views.[90]

Influencers also helped Shein enter a new market. Shein worked with about 2,000 influencers when entering the Indian market. To attract more influencers, Shein offered a Shein Affiliant Program and an Ambassador Program.

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[83] This ROI is about 33.33%, much better than the average ROI of 15.99% in retail apparel industry. [Source: SCI Market, "Retail Apparal Industry," https://csimarket.com/Industry/industry_ManagementEffectiveness.php?ind=1301&hist=2, accessed 2 October 2021.]

[84] Ibid.

[85] Ibid.

[86] Kristen Bahler, "Is SHEIN a Scam? How an Obscure Brand with Suspiciously Cheap Clothes Became the Trendiest Place to Shop Online," *Money*, 6 April 2021, https://money.com/is-shein-legit/, 28 August 2021.

[87] Sun Wenxuan, "Shein's Fortune Code.".

[88] Leen Hajjar, "SHEIN Joins Forces with Almahra to Launch Exclusive Collection," *Harper's Bazaar*, 10 August 2021, https://www.harpersbazaararabia.com/shopping/shein-joins-forces-with-almahra-to-launch-exclusive-collection, accessed 27 August 2021.

[89] Sofia Bettio, "Shein's success through TikTok's hauls," 12 April 2022, https://www.nssmag.com/en/fashion/29542/shein-haul, accessed 28 April 2022.

[90] TikTok corporate website, https://www.tiktok.com, accessed 28 April 2022.

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Affiliate Program

Shein's Affiliate Program offered a way for people to become influencers and allowed them to earn money by promoting its products. Influencers were required to give their details and register on Shein's corporate website, and Shein emailed them in 48 hours to confirm whether they were accepted to the program. Though Shein's commission level was like those of Amazon and Aliexpress, the affiliate programs of Amazon and Aliexpress did not require any approval if influencers signed up and submitted their details.

To decide whether an influencer was approved, Shein used the following three criteria: [91]

- Whether the style of the applicant's personal page on social media was appropriate.
- Whether the audience of the applicant's personal page or social networks were Shein's target customers.
- Whether the applicant's personal page had a certain amount of traffic.

Once approved, influencers could choose the products from Shein's collections and share the product links on social media platforms, along with the related banners with links Shein prepared. When a customer clicked a link or banner and made a purchase in the following 30 days after the first click, then the influencer would get a profit of 10% to 20% of the price of the item clicked by the customer. The program attracted thousands of registrations, including bloggers sharing articles on fashion, Instagrammers doing Shein looks, and coupon or price comparison sites.

Ambassador Program

There were two different types of Ambassador Program: Shein Ambassador and Shein Campus Ambassador.

The Ambassador Program required influencers to have at least 5,000 followers to become a Shein Ambassador,[92] or 1,000 followers as a Shein blogger,[93] on their social media account with Instagram, Twitter, YouTube, or TikTok. Influencers first posted wearing garments or accessories bought from Shein and applied by email stating they were interested in becoming an ambassador. The ambassadors Shein looked for did not need to be famous, but had to have an established record showing that their viewers intended to buy or liked Shein's product range.

Ambassadors got free clothes from Shein worth between USD40 and USD220. In return, they were required to try on the clothes and take pictures within 7 to 15 days after receiving the garments, post on their blog or social network, and provide a link to the clothes on the Shein website. Finally, they had to notify Shein of their post. [94]

> *Fashion hauls are obviously a way to show off your social status, but they're also a way to gain status. I've seen several videos on TikTok of regular people going viral for doing massive hauls. . . In fact, it's almost like a rite of passage now for any aspiring influencers because they know these types of videos can get views and rank for haul-related keywords.*
>
> - Lily Fang, better known as @imperfectidealist [95]

[91] Olalla Mellado, "Shein Affiliates: How does the Shein Affiliate Program Work?" https://olallamellado.com/shein-affiliate, accessed 21 Aug 2021.
[92] Girl Power, "What is a Shein Ambassador and how much are they making?" https://girlpowergirlstrong.com/what-is-a-shein-ambassador-and-how-much-are-they-making/, accessed 21 August 2021.
[93] Olalla Mellado, "Shein Affiliates."
[94] Olalla Mellado, "Collab with Shein [2+1 Ways to Do It and Make Money]," https://olallamellado.com/shein-collab, accessed 21 August 2021.
[95] Tammy Gan, "Why are massive Shein hauls so popular on TikTok?" Green Is the New Black, 24 June 2021, https://greenisthenewblack.com/shein-ultra-fast-fashion-consumerism-tiktok-influencer/, accessed 28 August 2021.

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Campus ambassadors had to be registered students at a university. In the "Fall for Shein 2019 Tour," for example, campus ambassadors worked with the Shein campus events team by wearing its clothes and encouraging people to become ambassadors. Those students who downloaded Shein's app, followed Shein on Instagram, and completed a survey received a 15% discount and a USD5 gift card.[96]

Virtual Events

> *[In 2020] SHEIN Together helped unite 1.8 million SHEIN fans to raise awareness and funds for Covid relief. The overwhelming response that SHEIN Together received last year has inspired us to continue our philanthropic efforts and give back to our community.*
>
> - Molly Miao, Chief Marketing Officer, Shein[97]

After the breakout of COVID-19, Shein organized many virtual events. SHEIN Together Fest had been an annual philanthropic virtual music festival since December 2020. In 2021, Shein's promise to donate to the top three charities in the Light-A-Wish campaign had attracted 10 million visits to the web page. The 2021 event was held on 2 May with host Erin Lim Rhodes joined by Hollywood celebrities including Nick Jonas, Maren Morris, and Steve Aoki. Eventually Shein donated USD300,000 to the top three charities that won the votes from over 2 million fans.[98]

On 19 September 2020, Shein invited famous singers, including SHY'M, Ellie Goulding, Rita Ora, and Stefflon Don, along with more than 100 global influencers to "WalkYourWonderful," Shein's first virtual catwalk show. All the clothes they wore that day were available on ar.SHEIN.com, and part of the revenue was donated to Dress for Success and Pink Caravan to empower and help women.[99]

From April to September 2021, Shein held the first SHEIN X 100K Challenge. This was a fashion competition that brought together talented designers from all over the world, sharing their designs in the theme of "Be Bold, Be You!" and competing for different prizes, with the top prize worth USD100,000. The contest had an impressive panel of judges, including American media personality and model Khloé Alexandra Kardashian, American stylist and a judge on Legendary Law Roach, American fashion designer Christian Siriano, American fashion designer and entrepreneur Jenna Lyons, and Style Director of *InStyle Magazine* Laurel Pantin.[100]

Challenges Ahead

> *Fast fashion isn't cheap, someone, somewhere is paying for it.*
>
> - Lucy Siegle, author and journalist, *The Guardian* [101]

[96] Aishah Muhammad, "SHEIN on-campus ambassador talks business, brand awareness," *Daily Targum*, 11 November 2019.
[97] Anna Wdowczyk, "'Shein Together Fest' is Coming Back with Performances From Nick Jonas, Steve Aoki & More," 22 April 2021, https://www.celebsecrets.com/shein-together-fest-is-coming-back-with-performances-from-nick-jonas-steve-aoki-more/, accessed 27 August 2021.
[98] Ibid.
[99] Shein, "Global online retailer SHEIN announces groundbreaking virtual fashion show to dress for success," PR Newswire, 18 September 2020, https://www.prnewswire.com/news-releases/global-online-retailer-shein-announces-groundbreaking-virtual-fashion-show-to-dress-for-success-301133894.html, accessed 27 August 2021.
[100] Shein, corporate website, https://us.shein.com/campaign/sheinx100kchallenge, accessed 29 Nov 2021.
[101] Tammy Gan, "Why are massive Shein hauls so popular on TikTok?" 24 June 2021, https://greenisthenewblack.com/shein-ultra-fast-fashion-consumerism-tiktok-influencer/, accessed 28 Aug 2021.

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Shein had grown from a startup to a leading brand in the ultra-fast-fashion industry, thanks to its effective digital marketing and supply chain management system. But as the company grew, the criticism it received also grew louder.

Possible Intellectual Property Infringement

> *[With] a dress, a shoe, a bag, copyright law forces a brand that wants to claim protection to show the creative elements of this larger garment and separate them out. It makes for a pretty messy and not straightforward reality. The reality is, in most cases, it's perfectly legal to knock off a dress design.*
>
> - Julie Zerbo, lawyer and journalist behind *The Fashion Law* blog[102]

In the fashion industry, the protection copyright law offered was limited. Designers were only allowed to copyright the creative parts of their works, such as unique patterns that distinguished them from others. In other words, a designer was unable to claim extensive protection for the entire piece of clothing, which left a gray area for fast-fashion brands to copy the general design but not the part that was trademarked.[103] As a result, designers were devastated if their work was copied [see an example in **Exhibit 7**].

Given the fast-changing nature of Shein's products and its huge collection of fashion products in various styles and designs, Shein had a professional legal department to handle the problem of copyright infringement. When it received a complaint, after verifying the case and removing the offending items from the site, Shein compensated and/or bought the copyright from the copyright owners. [104]

As it grew and became famous, Shein was accused of copyright infringement more often and lawsuits started to pile up. American court dockets showed that Shein and/or Zoetop Business Co. appeared in a number of copyright infringement lawsuits by big companies, including Levi's and Deckers Outdoor Corp., and independent creators including Katie Thierjung and Kjersti Faret. [105] Shein was also accused of copying smaller fashion brands, such as Valfré and Flaws of Couture. [106] Most of these lawsuits were eventually settled out of court.

In 2020, AirWair International Ltd., the shoemaker of Dr. Martens based in the UK, filed a lawsuit against Shein. Shein denied AirWair's claims and insisted it respected intellectual property rights.[107]

In 2021, Ralph Lauren issued a trademark infringement and unfair competition lawsuit against Shein, claiming that its well-known polo player logo appeared on Shein's apparel and sought injunctive relief and damages. [108] Both parties would likely work out a deal before trial, as many Shein's predecessors had done. Forever 21, for example, had put aside a certain amount of funding in its annual budget not only to hire external lawyers and pay legal fees but also to handle pre-litigation arguments and subsequent settlements. [109] But Shein had lessons to learn from its predecessors. Before going bankrupt, Forever 21 was sued by Gucci for using its

[102] Sharon Pruitt-Young, "Why Indie brands are at war with Shein and other fast-fashion companies," 20 July 2021, https://www.npr.org/2021/07/20/1018381462/why-indie-brands-are-at-war-with-shein-and-other-fast-fashion-companies, accessed 4 September 2021.
[103] Ibid.
[104] Wenxuan Sun, "Shein's Fortune Code."
[105] The Fashion Law, "Shein is falling short of modern slavery reporting rules.".
[106] MyKenna Maniece, "Everything Wrong with Shein," 20 July 2020, https://universitygirlsu.com/style/2020/7/19/everything-wrong-with-shein, accessed 28 Aug 2021.
[107] Eva Xiao, "How Shein became the Chinese Apparel Maker American Teens Love,".
[108] The Fashion Law, "Shein is falling short of modern slavery reporting rules.".
[109] Ibid.

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trademark-protected green-red-green stripe on apparel and accessories and other companies, such as Adidas, H&M, Mara Hoffman, and Puma, on similar grounds.[110]

Quality Issues

> *I love that I can spend $10 on a shirt and maybe only wear it once or twice and not feel guilty.*
>
> - Breanne Tomolonis, 24-year-old Instagram blogger with 41,000 followers [111]

Despite Shein's claim that it had a vigorous quality control process throughout the supply chain, there were complaints that the quality of Shein's clothes was unsatisfactory. Most of the online orders returned to e-commerce retailers were usually due to size and fit issues, but bad fit problems were caused by the lack of standardization in clothing sizes.[112] A size S in China was not the same as the size S in Europe or America. For example, Shein had received complaints that its sizes were too small, and its size XXXXL clothes were actually an American size L. [113] There were also complaints on social media platforms that Shein's clothes arrived late, with defects, such as torn or discolored clothes. [114] Additionally, as the spending power of the youth who purchased from Shein increased with their ability to earn more from work and experience, their expectation of the quality of Shein increased too. This could lead to the loss of some customers.[115]

Quality and price was an ongoing debate in the clothing industry. Some consumers wanted to pay more for higher-end, higher-priced clothing because it cost more to make clothing that lasted. According to survey results,[116] 94% of consumers considered price a determinant in their buying decisions, and about 58% of consumers believed that higher-priced clothes were of better quality than lower-priced counterparts. Other customers wanted stylish clothing at affordable prices. Fast fashion featured quick response, style variety, and appealing prices, and fast-fashion companies might have had to lower the quality to save costs and respond to uncertain fashion trends.[117] Clothing became so cheap that it became a perishable product that was discarded after brief use.[118]

Fashion companies marketed a constantly changing array of apparel based on 50 to 100 "micro seasons" instead of the traditional clothing seasons of two to four collections a year. [119] Compared to 2014, customers bought 60% more clothing in 2000, but each piece was kept for only half the time. Customers in the US bought a piece of clothing every 5.5 days on average.[120]

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[110] Ibid.

[111] Kristen Bahler, "Is SHEIN a Scam? How an Obscure Brand with Suspiciously Cheap Clothes Became the Trendiest Place to Shop Online," *Money*, 6 April 2021, https://money.com/is-shein-legit/, 28 August 2021.

[112] Suzanne Kapner, "It's Not You. Clothing Sizes Are Broken," *Wall Street Journal*, 16 December 2019.

[113] Girl Power, "What is a Shein Ambassador and how much are they making?" https://girlpowergirlstrong.com/what-is-a-shein-ambassador-and-how-much-are-they-making/, accessed 21 August 2021.

[114] Kristen Bahler, "Is SHEIN a Scam?"

[115] Wenxuan Sun, "Shein's Fortune Code."

[116] Catherie Salfino, "Price, quality and style: Consumers seek shopping symmetry," *Sourcing Journal*, 22 March 2018, https://sourcingjournal.com/topics/lifestyle-monitor/price-quality-style-consumers-seek-shopping-symmetry-81026/, 12 October 2021.

[117] Xiaoyang Long and Javad Nasiry, "Sustainability in the Fast Fashion Industry," SSRN, 13 November 2019, https://ssrn.com/abstract=3486502 or http://dx.doi.org/10.2139/ssrn.3486502.

[118] L. Kimbrough, *Trendy, Cheap, and Dirty: Fashion is a top global polluter*, Mongabay, 23 April 2020.

[119] Ethan Goffman, "Disposable fashion is growing exponentially, and it's hell on the environment," *Progressive Magazine*, https://progressive.org/latest/disposable-fashion-is-growing-exponentially-190315/, accessed 4 November 2021.

[120] K. Niinimäki, G. Peters, H. Dahlbo, P. Perry, T. Rissanen, and A. Gwilt, "The environment price of fast fashion," *Nature Review Earth & Environment* 1 (2020): 189–200.

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Environmental Impacts

Most of Shein's clothes were made from synthetic fabrics such as polyester and nylon, the fabric that released plastic microfibers when washed. The fashion industry produced nearly 10% of global CO_2 emissions, contributed to around 35% of primary micro-plastic pollution in the oceans, generated over 92 million tons of waste, and was responsible for one-fifth of the world's industrial water pollution.[121] Owing to the lack of recycling technologies and the use of mixed fibers, only 1% of clothing could be recycled to make new garments while the remainder ended up in landfills.[122]

> *[W]ith low prices, easy return policies, and free delivery, marketers have significantly simplified the process of consumer's purchasing decision. As a result, purchases completed online requires minimal cognitive consideration from the consumer.*
>
> - Nikolas Rønholt, fashion student [123]

Fashion hauls on social media platforms like TikTok were also blamed for reinforcing a consumerist culture. TikTok influencers posted the videos online, showing them trying on fashion clothes. To continue to generate views and please their followers, influencers had to constantly shop and post haul videos, creating a "vicious cycle of fashion hauls."[124] This in turn influenced and encouraged the viewers to shop more often, which gradually became the norm and encouraged a culture of overconsumerism.

The overconsumerist culture was further complicated by the 14-day return policies, which were common in North America and Europe. In the UK, for example, people automatically had a "cooling-off period" of 14 days after they received their items bought online. Even if there was nothing wrong with the items, they could get a refund if the item was returned within two weeks.[125] An important role of Shein's overseas subsidiaries was to receive and handle returned items [see **Exhibit 8** for Shein's return policy in the US].

Overproduction led to excessive consumption and increased waste because unwanted merchandise eventually ended up in landfills. Shein had a lower level of inventory for each design than those traditional fashion brands that had to place large orders one year earlier, causing some fashion companies to go bankrupt during the COVID-19 pandemic. But Shein still had to offer heavy discounts to shift unpopular items. If items went unsold, they affected profits and had a negative impact on the environment.[126]

Fashion companies were trying to solve this problem. Resonance was a group of companies that was committed to changing the fashion industry business model. Resonance robotically cut digitally produced fabric into pattern pieces, and workers sewed the pieces in its factories in the Dominican Republic or New York. The completed garments were then branded, packed, and shipped to customers. To raise environmental awareness, Resonance gave each item a QR code showing how much fabric, dye, power, water, and other materials were used in production and

[121] Ibid.

[122] Saabira Chaudhuri, "Why your used shirts are destined for the dump and not the recycling center," *Wall Street Journal*, 2 October 2019, https://www.wsj.com/articles/why-your-used-shirts-are-destined-for-the-dump-and-not-the-recycling-center-11570008602, accessed 29 September 2021.

[123] Tammy Gan, "Why are massive Shein hauls so popular on TikTok?"

[124] Ibid.

[125] Citizens Advice, "Changing your mind about something you've bought," 2021, https://www.citizensadvice.org.uk/consumer/changed-your-mind/changing-your-mind-about-something-youve-bought/, accessed 28 August 2021.

[126] What to do with unsold items is up to the individual company. Some companies destroy unsold items, some throw them away like garbage, and some companies burn them. [*Eluxe Magazine*, "What happens to unsold clothes may surprise you," 27 January 2022, https://eluxemagazine.com/culture/articles/what-happens-to-unsold-clothes/, accessed 6 August 2022.]

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who made it and where. Orders normally took one or two weeks to reach customers, but some delays were caused by shortages of raw materials.[127] In addition to Resonance, other fashion companies also took actions to address the sustainability issue. In 2019, Zara promised to use organic, sustainable, or recycled fabrics in its clothing by 2025.[128] Uniqlo also published a Sustainability Report annually. [See **Exhibit 9** for more details on the business models of Zara and Uniqlo.]

Chinese Background

Shein was based in China and targeted overseas markets. This created some challenges for Shein.

First, owing to the lack of awareness and sensitivity of cultural differences, Shein was the subject of a series of internet boycott events. In July 2020, Shein mistakenly sold Islamic prayer mats as Greek carpets. Different from decorative carpets, prayer mats had to be treated and used with respect. Shein eventually withdrew the products and apologized.

In May 2021, one of Shein's phone cases depicted an image of a man in handcuffs with a chalk outline surrounding him. Shein was accused of discrimination. Shein immediately withdrew the product and later explained on Twitter: "In response to the phone case, we want to explain that the art was created in reaction to the 2014 murder of Michael Brown in Ferguson and meant to show support for Black Lives Matter."[129]

Later, in July 2021, Shein's swastika necklace resulted in another scandal that received wide publicity. Shein marketed a "Metal Swastika Pendant," intended to represent the Buddhist symbol for spirituality and good fortune. But it looked like the Nazi swastika, leading many people on social media to demand Shein's removal of the necklace and to boycott the brand. For example, the Instagram post of Marissa Casey Grossman, a fashion influencer, on this scandal had about 100,000 likes. Shein later issued an apology and admitted its lack of sensitivity.[130]

Second, as a Chinese company, Shein faced regulatory and political risks when operating in other countries. Shein provided little information on its website about its supply chain, such as how and where it made its products, and ranked low in the Fashion Transparency Index [see **Exhibit 10**]. Though Shein stated on its social responsibility page that the company never engaged in child or forced labor,[131] Sixth Tone found that many Shein manufacturers cut costs by outsourcing to some small workshops that paid their workers less and flouted labor laws.[132] But the UK's 2015 Modern Slavery Act required those companies with an annual sales of over 36 million pounds globally to provide a statement in a prominent place on its corporate website, dated the fiscal year and signed by the director, outlining its measures to combat forced labor in the supply chain. On 2 August 2021, a Shein spokesperson said the company was finalizing the statements required by UK law and would make them available within a few weeks.

[127] Suzanne Kapner, "Designers try selling clothes first, making them later," *Wall Street Journal*, 25 September 2021, https://www.wsj.com/articles/designers-try-selling-clothes-first-making-them-later-11632562202?st=dg0w2w3nkvas9s0&reflink=desktopwebshare_permalink, accessed 27 September 2021.

[128] Scarlett Conlon, "Zara clothes to be made from 100% sustainable fabrics by 2025," *Guardian*, 17 July 2019, https://www.theguardian.com/fashion/2019/jul/17/zara-collections-to-be-made-from-100-sustainable-fabrics, accessed 6 October 2021.

[129] Prerna Nambiar, "Why is Shein getting cancelled on Twitter? Its figure graphic phone case receives backlash," 22 May 2021, https://www.hitc.com/en-gb/2021/05/22/shein-phone-case/, accessed 28 Aug 2021.

[130] Hannah Lonser, "Chronicling SHEIN's Problematic History," 20 July 2020, https://www.34st.com/article/2020/07/shein-swastika-necklace-controversy-boycott-shein-fast-fashion-upenn-ivy-league, accessed 28 Aug 2021.

[131] Victoria Waldersee, "Chinese retailer Shein lacks disclosures."

[132] Jonathan Eley and Eleanor Olcott, "Shein: the Chinese company storming the world of fast fashion.".

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Similarly, Australia also required companies with annual sales of AUD100mn to issue an annual modern slavery statement to the Australian Border Force. [133]

As border tensions between India and China rose, Shein's Indian website was forced to stop operating in 2019 after the Mumbai Customs Department claimed that Chinese shopping sites paid lower duties than were actually due. [134] Then, Indian authorities permanently banned 59 Chinese apps, including Shein, TikTok, Weibo, and WeChat in June 2020. [135]

What's Next

> *Shein needs to consider strategically whether it can sustainably maintain to control of the market and whether it needs to expand beyond the customer base with low budgets. In the past, it was common to see the changes of leading companies in the fast-fashion industry. So it is necessary to consider how to maintain the existing market leader position and whether or not to expand.*
>
> - Prof. Cui Lili, Shanghai University of Finance and Economics[136]

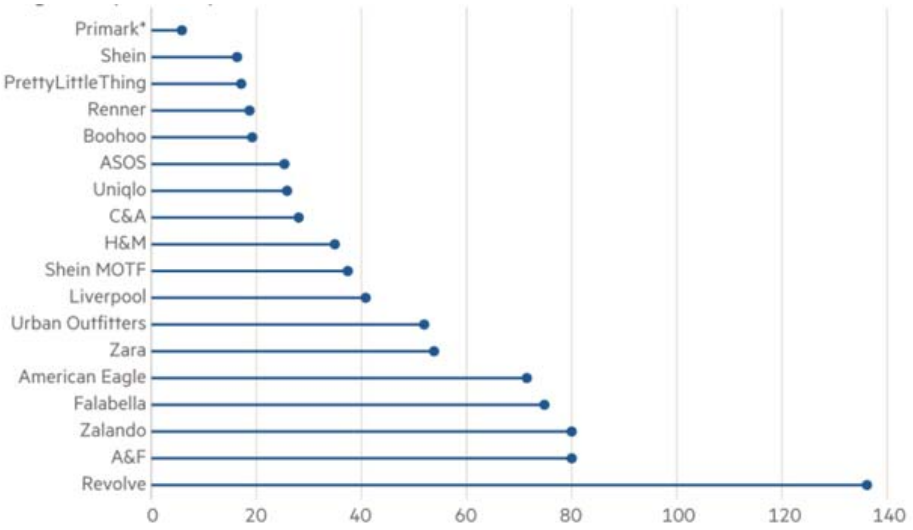
Shein had benefited from its supply chain management and effective digital marketing, and enjoyed a period of rapid growth in the fast-fashion industry. Why was Shein able to take over its competitors like Zara and Uniqlo during the pandemic? What should Shein do to make its business model more sustainable in terms of intellectual property accusation, quality concerns, and environmental impact? How should Shein prepare for potential regulatory and political risks? With Shein's success attracting more competitors to enter the market—for example, Alibaba launched a similar website, www.allylikes.com—how could Shein maintain its leading position in the market?

[133] Victoria Waldersee, "Chinese retailer Shein lacks disclosures.".
[134] Mint, "Banned fashion site Shein to re-enter India through Amazon," 14 July 2021, https://www.livemint.com/companies/news/banned-fashion-site-shein-to-re-enter-india-through-amazon-11626240761740.html, accessed 22 August 2021.
[135] Isabelle Crossley, "India permanently bans 59 Chinese apps including Shein, Club Factory," 26 January 2021, https://in.fashionnetwork.com/news/India-permanently-bans-59-chinese-apps-including-shein-club-factory,1274961.html, accessed 22 August 2021.
[136] Wenxuan Sun, "Shein's Fortune Code."

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EXHIBIT 1: PRICE COMPARISON OF FAST-FASHION BRANDS



*Primark figure is across all classes, while the rest are the average sales price of top 10 dresses.

Source: Morgan Stanley. Adopted from Jonathan Eley and Eleanor Olcott, "Shein: the Chinese company storming the world of fast fashion," *Financial Times*, 9 December 2021, https://on.ft.com/31Fvc1r, accessed 9 December 2021.

EXHIBIT 2: SHEIN'S ITEMS BOUGHT PER ORDER IN DIFFERENT REGIONS

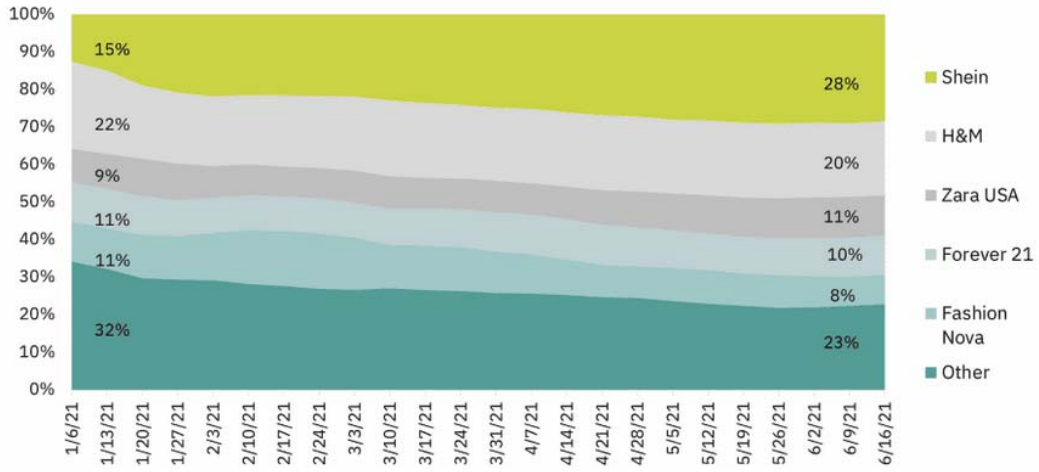
Region	1–2 Items per Order	3–5 Items per Order	More than 6 Items per Order
Africa	2%	83%	15%
Asia Pacific	38%	29%	33%
Europe	23%	45%	32%
Latin America	17%	58%	25%
Middle East	4%	84%	12%
North America	22%	48%	30%
Oceania	26%	49%	25%

Source: Michelle Tang, "Shein, the fastest growing e-commerce company in the world," 7 December 2021, https://blog.measurable.ai/2021/12/07/the-rise-of-fast-fashion-company-shein/, accessed 7 August 2022.

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EXHIBIT 3: FAST-FASHION MARKET SHARE IN THE US



Source: Adopted from Earnest Research, "Shein Now Leads Fast Fashion," 24 June 2021, https://www.earnestresearch.com/data-bites/shein-leads-fast-fashion/, accessed 25 August 2021.

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EXHIBIT 4: CHINESE GLOBAL BRAND BUILDERS, 2021

	2020 Rank[1]	Brand	Category	Brand Power
1	3	Alibaba Group	E-commerce	2064
2	4	ByteDance	Content Apps	2049
3	1	HUAWEI	Consumer Electronics	1993
4	5	mi	Consumer Electronics	1831
5	2	Lenovo	Consumer Electronics	1828
6	12	oppo	Consumer Electronics	1299
7	7	Hisense	Home Appliances	1134
8	6	Haier[2]	Home Appliances	1032
9	8	ONEPLUS	Consumer Electronics	1017
10	20	vivo	Consumer Electronics	965
11	13	SHEIN	Online Fast Fashion	901
12	16	Tencent 腾讯	Mobile Gaming	804
13	11	ANKER	Consumer Electronics	793
14	10	TSINGTAO 青岛啤酒	Alcoholic Drinks	740
15	9	AIR CHINA	Airlines	701
16	18	FUNPLUS	Mobile Gaming	642
17	14	dji	Smart Devices	626
18	22	TCL	Home Appliances	574
19	23	LILITH GAMES	Mobile Gaming	503
20	17	中国東方航空 CHINA EASTERN	Airlines	479
21	26	ZTE中兴	Consumer Electronics	478
22	N/A	miHoYo	Mobile Gaming	459
23	15	中国银行 BANK OF CHINA	Banks	456
24	27	ECOVACS	Smart Devices	453
25	31	BIGO	Content Apps	434
26	19	zenjoy	Mobile Gaming	423

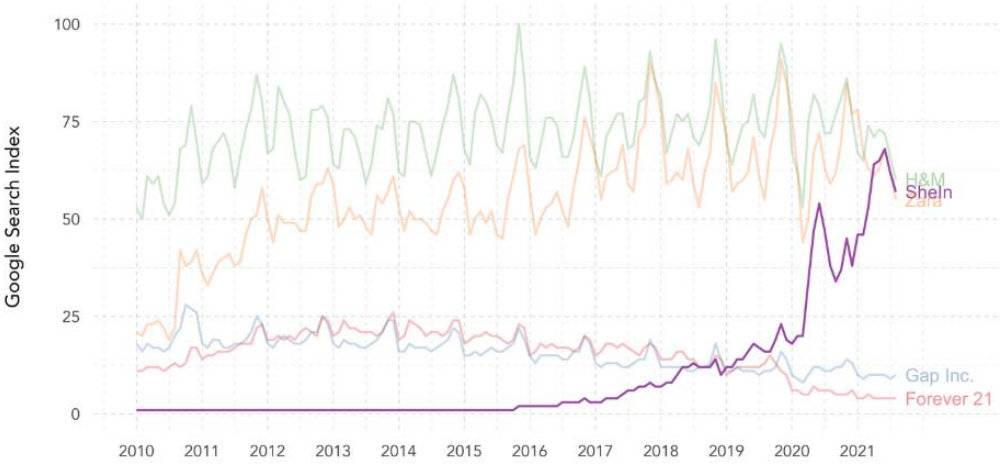
Source: Google and Kantar, Top 50 Kantar BrandZ,™ *Chinese Global Brand Builders 2021 Ranking Report*, Shenzhen, China, 10 May 2021.

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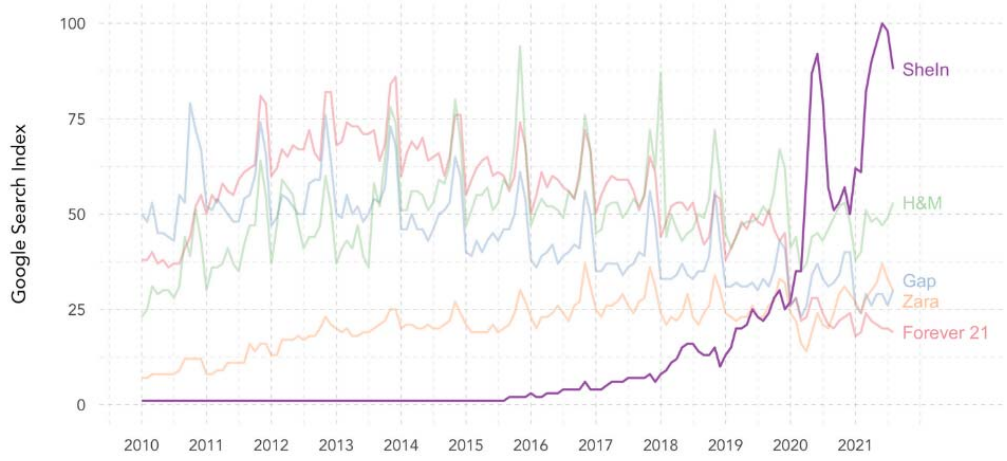
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EXHIBIT 5: GOOGLE SEARCH OF CLOTHING BRANDS

4.1 Google Search Index Worldwide



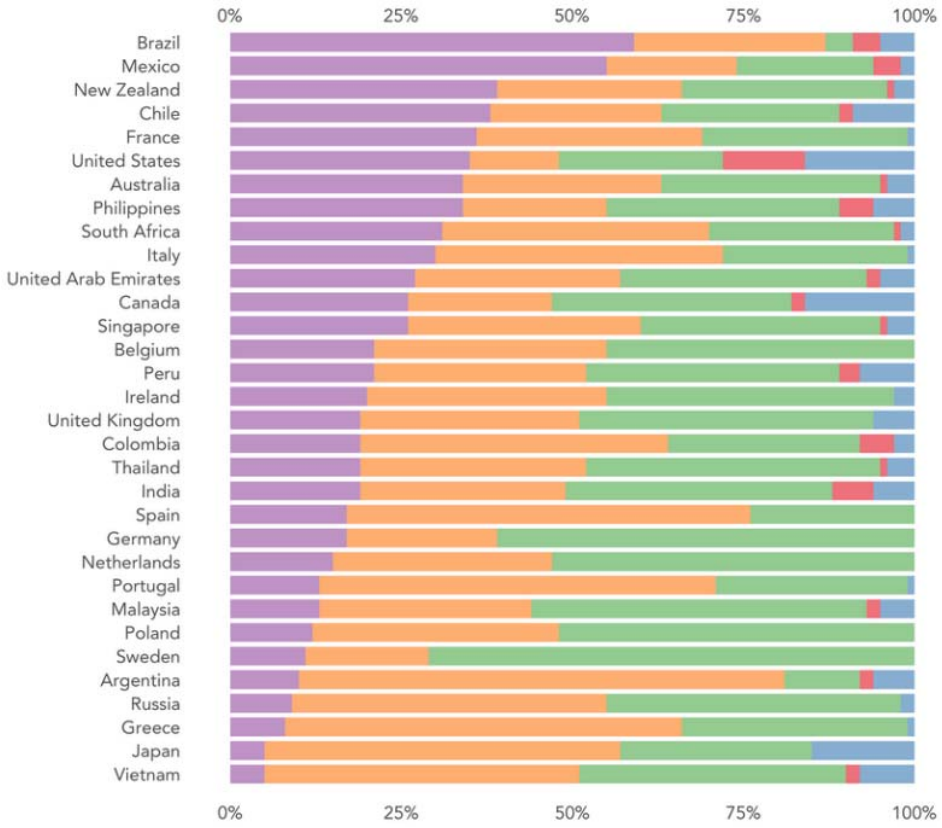
4.2 Google Search Index in the US



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4.3 Shares of Google Search between January 2000 and August 2021

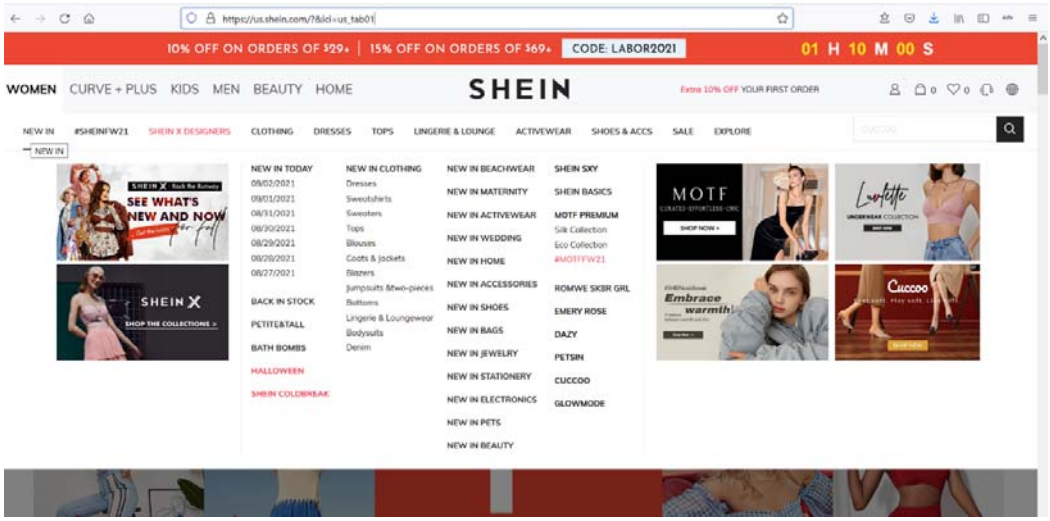


Source: Google Trends. Adopted from Yiqin Fu, "Shein: A story of online segregation and data as business intuition," 29 August 2021, https://yiqinfu.github.io/posts/shein/, accessed 29 November 2021.

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EXHIBIT 6: SHEIN'S US WEBSITE



Source: Shein, corporate website, https://us.shein.com, 2 September 2021.

EXHIBIT 7: A COMPLAINT ABOUT SHEIN ON TWITTER



Source: https://twitter.com/theelleyy/status/1416111425337053192?lang=en, accessed 4 September 2021.

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EXHIBIT 8: SHEIN'S RETURN POLICY IN THE US

How long do I have before making a return, and do I have to pay for shipping?

1. You have a max of 45 days to make returns. You must send back and postmark your return packages within 45 days after the purchase date. No returns made after 45 days from the purchase date will be accepted.

2. Shipping is free on your 1st return for any order. You must use the shipping label we provide (See "How do I make a return?" section for details), then send back and postmark the package within 45 days from the purchase date.

3. After you have already returned items from an order but would like to make additional returns for additional items, you must do so within 45 days of the purchase date. There are two ways:

① you can use the shipping label we provided and pay a $ 7.99 shipping fee , which will be deducted from your refund.

② you can use your own shipping method and at your own cost.

Can I still return items if they are worn, damaged, or have the tags removed?

1. You can only return items that are unworn, unwashed, undamaged, have the original tags/packaging attached and hygiene sticker intact.

2. The following items cannot be returned or exchanged: bodysuits, lingerie, jewelry, beauty products, underwear, event and party supplies, DIY supplies, pet supplies and accessories (except scarves, bags, and mermaid blankets). We cannot offer refunds on cosmetic if the hygiene seal has been broken.

3. Items with non-returnable marks and free gifts cannot be returned.

Refunds

1. Refunds will be processed within 7 days after we receive your package. The refund will be issued to your SHEIN Wallet or the original payment account, as per your request.

Unfortunately, due to current situations, your refund will require an additional 3-5 days to process. Thank you for your patience and understanding.

2. The original shipping fee and insurance are non-refundable.

NOTE: If you have any issues with your return, you must contact Customer Support within 180 days after your order was first placed.

Source: Adopted from Shein, corporate website, https://us.shein.com/Return-Policy-a-281.html, 29 November 2021.

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EXHIBIT 9: ZARA AND UNIQLO

Zara

Zara was founded by Amancio Ortega in Spain in 1975, and its parent company was Inditex. As a pioneer in fast fashion, Zara was the first to break four-season collections and invested heavily in its information and logistics system heavily in the 1990s.

Zara had significantly shortened the time from the original design first appearing on catwalks to retail shops. Zara owned its supply chain and controlled its manufacturing facilities to ensure that all its stores around the world regularly received small-batch deliveries twice a week. By keeping a significant amount of production in-house, Zara was able to reserve 85% of its manufacturing capacity for in-season adjustment and have the flexibility to launch new products. The labor-intensive finishing stages, including cutting and sewing facilities, were located near its design headquarters in Spain. Though the wages were higher in Europe than those in developing countries, it allowed the company to have a quicker turnaround time. As a result, its lead times were normally three to six weeks.[137] Equipped with the latest technologies, store managers were able to monitor sales and inventory and give real-time feedbacks to the headquarters.

Uniqlo

Uniqlo was established in Yamaguchi, Japan in 1949. As a wholly owned subsidiary of Fast Retailing Co. Ltd, Uniqlo provided high-quality casual wear with good quality at low prices.

Uniqlo's R&D Department hosted a concept meeting with different departments to decide on the design concept for each season one year before launching a new product. Then, the design would be refined and finalized. Each product was manufactured in large batches, about one million units. Large orders helped Uniqlo to secure high-volume, high-quality materials at low cost from suppliers. Uniqlo did not have its own factories but outsourced all production, mainly to factories in China and expanding to Vietnam, Bangladesh, Indonesia, and India. Uniqlo had 813 stores in Japan and 1,439 stores in other parts of the world, and its online sales accounted about 15% of total sales in 2020.[138]

[137] J. Fernie. and L. Sparks, "Retail logistics: changes and challenges," in *Logistics and Retail Management: Emerging Issues and New Challenges in the Retail Supply Chain*, 4th ed., J. Fernie. and L. Sparks, eds. (London: Kogan Page, 2014).
[138] Fast Retailing, "UNIQLO Business Model," 26 February 2021, https://www.fastretailing.com/eng/group/strategy/uniqlobusiness.html, accessed 6 October 2021.

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EXHIBIT 10: FASHION TRANSPARENCY INDEX, 2021

Range of scores	Name of Company (Percentage)
91%–100%	
81%–90%	
71%–80%	OVS (78)
61%–70%	H&M (68)
51%–60%	United Colors of Benetton (60)
41%–50%	Gap (49) ASOS (47) Uniqlo (42) Next (40)
31%–40%	Primark (38) Zara (36) New Look (34)
21%–30%	The Warehouse (27) Topman (27) Topshop (27) Mango (26)
11%–20%	Guess (12)
0–10%	Shein (1) Fashion Nova (0)

Notes: The total score is 250 points and final scores have been converted to percentages and rounded to the nearest whole number. The range in which brands score reflects the level of transparency across these global fashion brands. In 2021, no brands scored above 80%.

Source: Fashion Revolution, "Fashion Transparency Index 2021 Edition," https://issuu.com/fashionrevolution/docs/fashiontransparencyindex_2021, accessed 3 February 2022.

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